MACROECONOMIC FUNDAMENTALS & GROWTH (FY26)

ABHISHA AI
by Abhishek Pathak

INDIA: FASTEST-GROWING MAJOR ECONOMY
(4th Consecutive Year)

1. GDP & GVA TRENDS (FY26 Estimates)

REAL GDP GROWTH: **7.4% (e)**

GVA GROWTH: **7.3% (e)**

FY26 FY26

Source: Economic Survey (e)

2. POTENTIAL GROWTH (UPWARD REVISION)

REVISED TO: **~7.0%** (from 6.5%)

DRIVERS:
CAPITAL ACCUMULATION & DIGITAL INFASTRUCTURE

3. INFLATION PROFILE (CPI)

HISTORIC LOW
CPI: 1.7%
(Avg. Apr-Dec 2025)

4% TARGET

FOOD

FUEL

PRIMARY CAUSE:
DISINFLATION IN FOOD & FUEL

4. SNA 2025 TRANSITION (High Priority!)

OLD FOCUS:		NEW FOCUS:
GDP (Gross Domestic Product)	VS	**NDP** (Net Domestic Product)

WHY THE SHIFT?

1. BETTER ACCOUNTS FOR ENVIRONMENTAL COSTS
2. SUSTAINABILITY ASSESSMENT

NDP = GDP – (DEPRECIATION + NATURAL RESOURCE DEPLETION)

BASE YEAR REVISION PLANNED

5. SECTORAL PERFORMANCE (GVA, FY26e)

- **SERVICES** (Largest Contributor): **9.1%** (Digital & Prof. Services)
- **INDUSTRY: 6.2%** (Manufacturing & PLI)
- **AGRICULTURE: 3.1%** (Monsoon & Horticulture > Foodgrains)

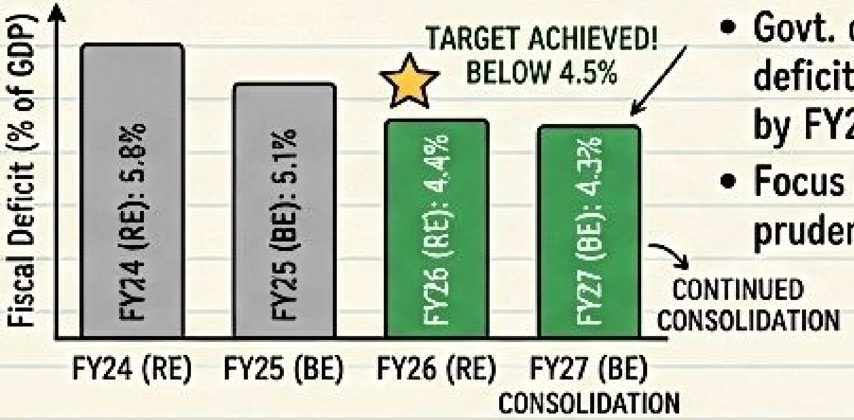
PRELIMS QUICK CHECK

Remember relationship: **GDP = GVA + Net Taxes (Taxes – Subsidies)**

UPSC PRELIMS 2026 | FISCAL POLICY & CONSOLIDATION: A COMPREHENSIVE OVERVIEW

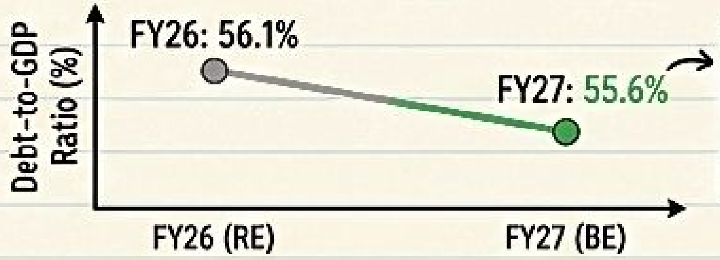
Key Data & Highlights for Last-Minute Revision

1. FISCAL DEFICIT TARGETS & Consolidation Glide Path



- Govt. committed to bring deficit below 4.5% by FY26. Target met.
- Focus on fiscal prudence.

2. DEBT-TO-GDP RATIO: PIVOT TO DEBT TARGETING



NEW LONG-TERM TARGET: 50% (±1%) by 2030-31

3. TAX BUOYANCY & Revenue Management

- Tax Buoyancy: Tax revenue grew faster than GDP growth.
- Expanded Direct Tax Base: 9.2 Crore Income Tax Returns (ITRs) filed in FY25, vs 6.9 Crore in FY22.
- Key Step: Unified Income Tax Act, 2025 (effective April 2026) for simplification.

4. 16TH FINANCE COMMISSION (FC): KEY RECOMMENDATIONS (2026-31)

- vertical devolution: 41% of central tax pool remains with States.
- Fiscal Deficit limit for States: 3% of GSDP annually.
- Strict prohibition on Off-Budget Borrowings (must be included in budget).
- Recommended Fiscal Deficit targets:
  - Centre: 3.5% of GDP by 2030-31;
  - Combined (Centre+States): 73.1% by 2030-31.

5. FINANCIAL TRANSFERS TO STATES (FY27 ESTIMATES)

- Estimated Total Grants to States: ₹1.4 Lakh Crore.
- Significantly higher total transfers including share of taxes.

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UPSC PRELIMS 2026 NOTES

BANKING, MONETARY & FINANCIAL SECTOR: KEY TRENDS FOR UPSC PRELIMS 2026

1. ASSET QUALITY: NPAs AT MULTI-DECADE LOWS

Gross NPAs (GNPA) → 2.2% (Sep 2025) → Significantly Improved Asset Quality

Net NPAs (NNPA) → 0.5%
- → Record Low NPAs
- → Cleaner Bank Balance Sheets

2. MONETARY POLICY: RBI's RATE CUT CYCLE

CUMULATIVE REPO RATE REDUCTION
- → To Support Growth Amid Low Inflation
- 100-125 basis points (in 2025)
- → Accommodative Stance
- → Increased Systemic Liquidity

Growth Inflation

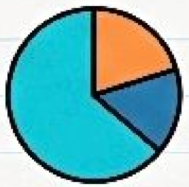
3. HOUSEHOLD FINANCIALISATION & MARKET PENETRATION

A Unique Investors in Capital Markets

CROSSED 12-CRORE MARK (Sep 2025)

→ 25% ARE WOMEN

B Mutual Funds (MF)



RAPID EXPANSION INTO Tier-II & Tier-III Cities

Structural Shift

VS

'Physical Assets' → 'Financial Assets' (equity/debt)

4. GIFT CITY: EMERGING GLOBAL FINANCIAL HUB

GIFT City (International Financial Services Centre - IFSC)

EXTENDED 20-YEAR TAX HOLIDAY (Offshore Banking Units (OBUs))
- → Concessional Corporate Tax
- → Long-term Regulatory Certainty
- → Attracting Foreign Capital

UPSC PRELIMS 2026: SECTORAL DEVELOPMENTS & REFORMS (UPDATED FOR FY 2026-27)

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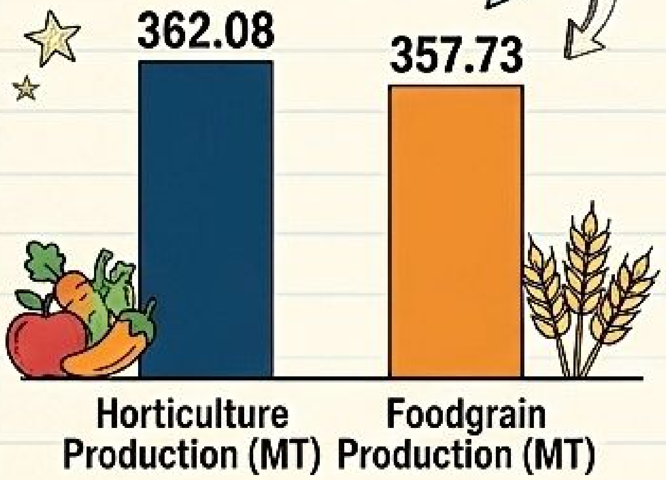
1 AGRICULTURE
(Horticulture Lead)

FIRST TIME: HORTICULTURE SURPASSES FOODGRAINS (2024–25)



Budget 2026
Focus: High-Value Crops & Agri-Export Clusters

2 STRATEGIC MANUFACTURING: 7 FRONTIER SECTORS
(Global Leadership)

1. BIOPHARMA SHAKTI — ₹10k Cr Mission for Biologics
2. ISM 2.0 — India Semiconductor Mission Phase 2
3. ELECTRONICS — Outlay: ₹40,000 Cr
4. RARE EARTH CORRIDORS — Mining & Hubs in 4 States
5. CHEMICAL PARKS — Plug-and-Play Model
6. CAPITAL GOODS — Hi-Tech Tool Rooms in CPSEs
7. TEXTILES — Integrated Programme: Samarth 2.0

3 INFRASTRUCTURE & CAPEX

CAPITAL EXPENDITURE (CAPEX)

₹12.2 LAKH CRORE } FY27

7 HIGH-SPEED RAIL CORRIDORS

20 NEW NATIONAL WATERWAYS

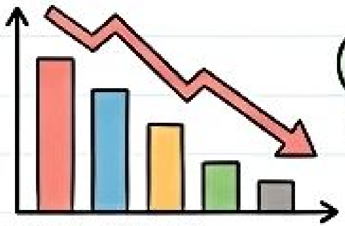
4 LABOUR REFORMS

- CODE ON WAGES
- CODE ON SOCIAL SECURITY
- INDUSTRIAL RELATIONS CODE
- OSH & WORKING CONDITIONS CODE

→ Simplifying Compliance
→ Protecting GIG WORKERS & MIGRANT WORKERS
→ IMPLEMENTATION: NOV 2025 (Draft Rules Early 2026)

SOCIAL & FUTURE-READY INITIATIVES (For UPSC PRELIMS 2026)

POVERTY REDUCTION: MULTIDIMENSIONAL POVERTY INDEX (MPI)



MAJOR DECLINE!

FROM 55.3% (2005-06) TO 11.28% (2022-23)

24.82 CR ESCAPED POVERTY (Past 9 Years)

NODAL BODY: NITI AAYOG

METHODOLOGY: Alkire-Foster

12 INDICATORS (Health, Education, Standard of Living)

STEEPEST DECLINE: UP, BIHAR, MP

ENERGY TRANSITION: CCUS ALLOCATION

₹20,000 CRORE ALLOCATED (Next 5 Years)

FOCUS: HARD-TO-ABATE SECTORS

- STEEL
- CEMENT
- CHEMICALS
- REFINERIES

GOAL: DECARBONIZATION & NET ZERO 2070

ALIGNMENT: DST CCUS ROADMAP

BHARAT-VISTAAR (MULTILINGUAL AI PLATFORM)

DIGITAL PUBLIC INFRASTRUCTURE (DPI) (DPI) FOR AGRICULTURE

INTEGRATION: AGRISTACK + ICAR DATA

- MULTILINGUAL (Local Languages)
- CUSTOMIZED ADVISORY (Crop, Soil, Weather)
- VOICE & TEXT INTERACTION ('Bharati' Assistant)

CALL 155261

TARGET: ALL FARM PLOTS (KHARIF 2026)

CITY ECONOMIC REGIONS (CER)

DEVELOPMENT OF 100 CITIES (Tier-2, Tier-3, Heritage)

FUNDING: ₹5,000 CRORE PER CER (Based on Reforms)

CHALLENGE MODE FOR STATES

- → MAPPING ECONOMIC DRIVERS
- → HARNESS AGGLOMERATION ECONOMIES

EXAMPLES: JAIPUR, PATNA, PURI-BHUBANESWAR

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‘EXTERNAL SECTOR & TRADE (UPSC PRELIMS 2026)

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1. FOREX RESERVES (HISTORIC HIGH)

- Reached **$701.4 billion** (January 2026)
- roughly **11 months** of **Import Cover**

2. EXPORT MILESTONES (ALL-TIME HIGH)

SERVICES EXPORTS (FY25)

$387.6 billion

MERCHANDISE SHARE

1.8% of global merchandise exports

3. REMITTANCES (WORLD'S LARGEST RECIPIENT)

- Inflows: **$135.4 billion** (FY25)
- approx. **3.5% of GDP**

4. CURRENT ACCOUNT DEFICIT (CAD) – MODERATING TREND

Moderated to **0.8% of GDP** (H1 FY26) down from **1.3%** in H1 FY25

Prelims Focus Think: BoP Components, Factors affecting CAD, Role of Invisibles